

Amazon.com, Inc.

AMZN NASDAQ

Buy	\$233.00 ▼ 0.28%	12M Price Target \$275.00	52-Week Range \$196.00 – \$278.56	Market Cap \$2.51T
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AMZN: Tech Rout Creates Entry Before AWS Print

WHAT HAPPENED

- AMZN got caught in a broader tech rout — down ~7% in four sessions from \$250 to \$233. The trigger looks like Wednesday's news that hyperscalers (Google, Meta, Microsoft, Amazon) will collectively spend an "unprecedented" \$1 TRILLION on AI infrastructure in 2027. Sounds bullish, but the market read it as "when do we get returns on all this capex?" — classic sticker shock.
- Volume today is unusually thin (5M vs 47M yesterday), meaning the selling pressure has already flushed out. That's often a setup for a bounce, not a further leg down.

WHY IT MATTERS

The market is punishing AI capex right now, but here's the twist: AMZN is uniquely positioned because AWS actually MONETIZES that spend — every dollar of GPU capacity turns into revenue when enterprises rent it. So the sell-off is treating Amazon like it has Meta's problem (spending with unclear ROI), when really it has NVIDIA's opportunity (spending to meet demand it can't fulfill fast enough). The unusual call buying at \$180-\$200 strikes looks like someone hedging or catching falling knives, but the overall options flow is bullish — smart money is leaning into this dip. Watch for the Q2 earnings print (typically early August) — if AWS growth prints 18%+ and operating margins hold, this stock snaps back to \$260 fast.

POLICY & POLITICAL WATCH

Two policy threads matter right now: (1) The Trump administration's AI Action Plan released this month is explicitly PRO-hyperscaler — it's cutting permitting red tape for data centers and pushing federal agencies onto commercial cloud, which is a direct AWS tailwind. (2) Tariff risk is the offset — the Mideast/tariff headlines Reuters flagged this morning matter because Amazon's retail arm imports heavily from China and Vietnam, so any escalation on Section 301 tariffs hits retail margins. Also watch the FTC antitrust case (Khan-era holdover) — a settlement or dismissal under the current DOJ would be a legit catalyst worth 5-10% upside.

IS IT EXPENSIVE?

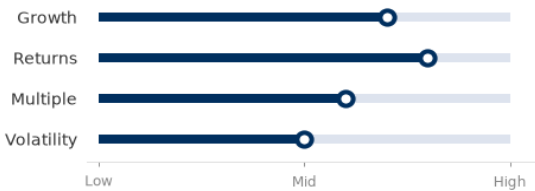
At \$233, AMZN trades at roughly 34x forward earnings — meaning you're paying \$34 today for every \$1 the company is expected to earn next year. That's not cheap, but it's actually the LOW end of Amazon's 5-year range, and it's a discount to Microsoft (~36x) despite similar cloud growth. The stock is sitting at 45% of its 52-week range — translation: it's closer to the bottom than the top, which is a decent risk/reward setup if you believe AWS keeps compounding.

WHAT COULD GO WRONG

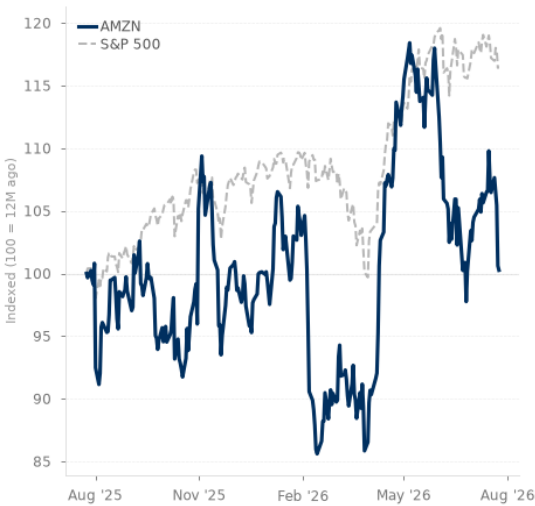
Key Data

Price (USD)	\$233.00
12M Price Target	\$275.00
Upside / (Downside)	+18.0%
Market Cap	\$2.51T
FY2026E Revenue	\$738M
FY2027E Revenue	\$812M
FY2026E EPS	\$6.85
FY2027E EPS	\$8.10
Fwd P/E	34.0x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$260.00	\$245.00	\$215.00
6 Months	\$290.00	\$260.00	\$210.00
1 Year	\$310.00	\$275.00	\$200.00
2 Years	\$360.00	\$310.00	\$220.00
5 Years	\$500.00	\$400.00	\$240.00
10 Years	\$750.00	\$550.00	\$280.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Real Estate (+2.2%) is ripping — that's a rate-cut bet, and lower rates are secondary tailwind for AMZN's multiple. Energy is strong on Mideast tensions.

COOLING OFF: Comm Services down 3.8% on the week — that's the AI/mega-cap unwind hitting Google and Meta, and dragging AMZN sentiment with it.

ROTATION WATCH: Money is rotating OUT of expensive AI names and INTO rate-sensitive sectors (REITs, Utilities) on expectations the Fed cuts in September. This is a positioning move, not a fundamental one — it usually reverses within 2-3 weeks.

RELATED PLAY: If you believe the AI capex story, the picks-and-shovels names benefit more directly — data center REITs (DLR, EQIX) and power infrastructure names are the second-order play on Amazon's spending.

WHO'S WINNING IN THIS SPACE?

- MSFT (Microsoft): Getting analyst upgrades (D.A. Davidson bull note) — Azure + OpenAI relationship is the cleaner AI narrative right now.
- GOOGL (Alphabet): Trefis is calling the discount "overdone" — Google is being punished harder than AMZN, which creates relative-value rotation opportunity.

AMZN CONTEXT: AMZN is lagging Microsoft but outperforming Google in this sell-off — that middle-of-the-pack position is actually where you want to be. It means the market isn't singling out Amazon for AI weakness, so a broader tech relief rally lifts it cleanly.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

CONVICTION: 7/10 — I like the setup here but I'm not pounding the table until we see the AWS number. This is a "buy the dip with discipline" trade, not a table-pounder.

POSITION SIZE: 4-6% of portfolio. Amazon is a core holding, but leave room to add if it pulls back further into earnings.

ENTRY POINTS: \$225-233 is your zone right now. If macro fear takes it to \$215, that's a gift — back up the truck.

TIME HORIZON: 12-24 months. Near-term catalyst is Q2 earnings (early August); longer-term is AWS AI revenue inflection through 2027.

WHEN TO BAIL: If AWS growth prints below 15%, or if the retail operating margin cracks below 5%, the story is broken and you exit.

HEDGING: Simplest hedge — buy a put option (insurance that pays off if the stock falls) around the earnings date, maybe \$220 strike. Costs a little, but if earnings disappoint you're protected. Alternatively, keep some dry powder so a further drop is an opportunity, not a problem.